



PREMARKET PLAYBOOK

How I trade premarket pumps — the short side.

ABOUT

The Bear of Wall Street



I'm Justin — aka The Bear of Wall Street. I'm not a Wall Street guy and I'm not professionally trained. I run cannabis dispensaries, I'm building a real estate / Airbnb portfolio, and I day trade as well. I'm a normal dude who got obsessed with how small-cap stocks move — especially the chaos around premarket pumps.

I'm a verified trader, and over the past few years I've produced consistent 6-figure years implementing the strategy in this playbook. I surpassed \$100k realized gains on a \$25k account by the end of February 2025.

This playbook is the framework I use to trade those moments with rules, patience, and controlled risk. It took me years to become consistently profitable, and along the way I lost over \$50k learning the hard way. My hope is that something in here shortens your learning curve and saves you from some of the same pain.

The core idea

- Structure first: obvious levels, not forced levels.
- Stack probabilities: chart + dilution risk + float + time of day.
- Risk is earned. Size is earned. No setup is worth losing control.

TOOLS I USE

Brokerage — TradeZero

TradeZero website header: Trade, Platforms, Learn, Support, Contact Us, Welcome Bonus, United States, Log In, Sign Up.

Trade With An Award-Winning Broker

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- 2025: Winner (Innovation in Trading & Investing, Best Brokerage for Short Selling)
- 2025: Winner (Chairman's Award, Excellence in Active Trading Software)
- 2024: Winner (Best Brokerage for Short Selling)
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- 2022: Winner (Best Brokerage for Short Selling)
- 2021: Winner (Best Brokerage for Short Selling)
- 2020: Winner (Best Brokerage for Short Selling)

We're Online! How may I help you today?

TradeZero is the broker I use to execute my trades. It's been voted Best Brokerage for Short Selling five years in a row, offers commission-free trading options, affordable locates, and the ability to sell back unused locates. Since I'm in and out of trades frequently, low fees are a big part of staying profitable.

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Stock Momentum Wave Replay from Friday 12/12/2025

Symbol	Price	% Change
FEIM	43.90	11.77%
CLYM	2.78	8.83%
RIVN	19.17	4.1%
YOU	40.77	3.2%
AFCG	3.39	3%
KYTX	9.63	3%
IVS	9.16	2%
OKLS	13.47	2%

12/12/2025, 10:39:59 AM

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Holly AI is currently analyzing market data to prepare your trading edge for when markets reopen.

This is the scanner I use to find the best stocks in play — gappers, pumps, and names moving fast in premarket. It helps me filter the noise and focus on the few tickers that actually matter, and I get an alert when that criteria is met. I also include my scanner configuration so you can plug in the same setup I use.



TIME OF DAY

7:00–8:30 AM Press-Release Pumps (my favorite window)

This is my bread and butter. Once you hit 7:00 AM, more traders are online, more liquidity comes in, and a lot of the biggest premarket runs are sparked by press releases. That matters because PR pumps bring what I want most: attention + volume + predictable behavior.

PR-driven runs tend to create clean, repeatable patterns:

- A strong initial push
- A pullback / consolidation
- A reclaim attempt (often where the trap is)
- Then the unwind when momentum fails

This is why 7 AM pumps are my favorite: you get early momentum *and* enough time for the chart to develop structure before the open. Early enough to catch the crowd forming, late enough that the move usually isn't just random illiquid noise.

Money Rotation — why “the new shiny ticker” matters

Small caps are attention markets. Traders chase what's moving *now*, not what moved earlier. That creates rotation:

- A ticker pumps early and grabs attention
- Then a newer PR drops later
- Traders rotate to the fresh headline and the new shiny ticker
- The earlier mover loses demand and starts fading as the crowd moves on — which creates downward selling pressure

This is one reason I like being early: if I catch a move around 7 AM, I'm often trading *before* the later PR wave hits. By the time the late-morning PRs print, money can rotate away from the earlier runner and the chart gets weak fast. That's why I typically stop trading around 8:30 AM even though premarket runs until 9:30.

My premarket focus (simple rules)

- Same framework all premarket: spike → stall → potentially a failed reclaim → fade
- I mostly focus on PR pumps because they bring cleaner volume and behavior
- 7:00 & 7:30 AM are my favorite — early enough to catch the move, with time for money to rotate away

If you treat premarket like one continuous session, you'll overtrade. If you respect time-of-day and rotation, you'll start showing up for the best opportunities instead of fighting the worst ones.



MY HIGHEST-PROBABILITY TRADES

When I say “best setups,” I’m talking about the trades where everything is stacked in my favor: the chart has a clean level, the story supports downside (dilution risk), the float isn’t a total landmine, and the move happens at the right time of day.

Quick clarification: I *do* trade frontside. I’m not only waiting for the backside collapse. The difference is I don’t blindly short strength — I’m willing to take the frontside as long as I’m trading into a clear level and managing risk correctly.

How I enter (frontside, controlled)

When a ticker is pumping into a resistance level, ideally at least 30%+, I’ll often:

- Start small into the level (starter size).
- If it pushes slightly above the level, I add more size — as long as my risk is still defined.
- Once it fails (rejects and starts to drop), that’s when I might add more because the trade is now proving itself.

1) Technicals — the level must be obvious

My best trades happen when price runs into a major resistance area that other traders can clearly see. I want something “obvious on the chart,” not a level I have to convince myself is real. My favorite technical targets:

- **The daily 200 moving average** (SMA is my favorite, but I play the EMA too). If the pump runs into the 200 on the daily after a 30%+ move, that’s often a magnet and a decision point — I’m looking for a test and rejection.
- **Gap fills.** Stocks love to “fill the gap,” and that gap-fill area often becomes a stall zone.
- **Previous support that is now resistance.** If a ticker broke down previously and is rallying back into that same area, I watch for it to act as a ceiling.

What makes a level “good” to me: it’s clear without zoom gymnastics, it lines up with prior highs/lows, moving averages, or gaps, and it creates a clean place to define invalidation (where I’m wrong). If the chart doesn’t have a clean level, I’m usually not interested — because I have less control of risk.



MY HIGHEST-PROBABILITY TRADES

Continued

2) Fundamentals — I want high offering / dilution risk

Technicals get me interested, but fundamentals often determine whether a move is likely to unwind hard or keep squeezing. For my best setups, I want:

- High offering risk
- Active dilution options
- High cash need and minimal cash on hand

Why? Small caps love to use pumps as an opportunity to raise cash. If a company needs money and the stock is running, that creates real dilution risk — and dilution puts a ceiling on price and makes fades more likely, especially if they're actively diluting on strong moves up. I'm not predicting an offering every time; I'm stacking probabilities.

3) Float — best sweet spot is 3M–15M (over 2M minimum)

Float matters. It's not everything, but it changes the personality of the ticker. For my highest-probability setups I prefer:

- Float over 2 million
- Sweet spot: 3 million to 15 million

Will I trade sub-2M floats? Yes — but that's not my "best setup" category. Those names can squeeze violently and punish you fast. If I'm in them, I'm extremely cautious, smaller size, and faster to exit.

4) Market cap + price range (my comfort zone)

- Market cap under \$100M
- Price between \$1 and \$10

That range tends to have enough volatility to create opportunity. I'll short up to 200 million, but the higher-market-cap tickers are more "legit" companies and can grind up instead of quick flushes. My goal is to short the "trash" companies that tend to give back their gains quick.

5) Time of day — early pop

Timing matters. My favorite "best setup" pumps happen early, ideally 7:00–8:00 AM — that's when PR pumps often start, liquidity and attention are building, and you have time for the chart to form clean structure before the open.

The A+ setup stack

- A clean resistance level (200 MA / gap fill / prior support → resistance)
- High dilution risk
- A float in the 3M–10M zone
- And it's pumping early

A+ EXAMPLES

Clean level + dilution risk + right time of day

Below are two examples that checked every box in my A+ criteria — clean level, dilution risk, right float, early pop, quick flush.

PETS — PetMed Express



The yellow dotted line marks the 200 SMA; the blue dotted line marks the 200 EMA. Dropped a PR at 8:00 AM, ~15M float, high dilution risk, correct price range, ~\$60M market cap. Very quick pop and flush.

BKYI — BIO-key International



The yellow dotted line marks the 200 SMA. Pumped at 7:55 AM, ~10M float, high dilution risk, above \$1, ~\$8M market cap — every box checked.

The idea is not to be early for the sake of being early.

- Be early *only* when the level, story, float, and time of day all line up.
- If the structure is missing, the trade becomes a guess instead of a setup.



WHAT TO AVOID

Some tickers just don't trade "normal." Even if the chart looks good, these categories can turn into squeeze-fests or unpredictable pumps. When I see these, I either pass or trade smaller and faster.

1) China-based tickers

China names can be extra volatile, prone to sudden spikes, heavily manipulated, and harder to trust on fundamentals / news flow. They can ignore technical levels and squeeze without warning. If I trade them at all, I stay light and treat them as higher risk.

2) Nano floats (under 1M)

Sub-1M floats are a different animal. They can move violently on thin liquidity, spreads widen fast, and a clean setup can turn into a runaway squeeze in seconds. These are not "best setups" for me — they're caution setups.

3) Strong, credible PR catalysts

If the press release is legit and has real staying power, the pump can keep pumping. I'm especially careful when the catalyst fits a hot theme or is genuinely meaningful, like:

- Phase 3 results
- FDA approval / clearance
- Major contract / partnership
- When a theme is hot (cannabis, crypto, robotics, etc.)
- Anything that changes the company's story overnight

These can trend longer than you expect and punish early shorts. If I do trade them, I'm patient, I wait for clearer confirmation, and I'm quicker to admit I'm wrong.

4) "All green" on AskEdgar / strong fundamentals

If AskEdgar shows a clean situation (strong balance sheet, low dilution risk), I'm more cautious. When a company has plenty of cash, low burn, and no obvious offering/shelf pressure, the pump can hold up longer and the downside fade isn't as reliable. My best shorts usually come when the fundamentals create a natural ceiling — so if everything looks healthy, I either pass or demand much clearer technical failure before sizing up.



RISK & SIZING

Sizing is the most discretionary part of my trading. There isn't one perfect number that works for every ticker — my size is simply a reflection of how many boxes the setup checks and how clean the trade is from a risk standpoint.

My core rule: size is earned

I start with a starter position I'm comfortable being wrong on. From there, I only increase size when the trade either proves itself or pushes slightly against me without breaking the thesis. A lot of these setups poke above a key level before they actually fail, so a small push through doesn't automatically invalidate the trade. But if the 5-minute candle closes above that level, that's my cue to stop adding and start trimming instead.

Risk is chart-based (volatility + distance to the next level)

My risk isn't a fixed number — it's driven by the chart's volatility and the distance to the next major level.

- If price is testing a key resistance level and the next meaningful level is close, I'm more comfortable working the trade. I can take a starter, and if it pushes slightly through, I may add at/near the next level because my risk is still contained.
- If the next major level is far away (say a full dollar higher on a \$3 ticker), that's a different situation. There's too much "air" above price, volatility can expand, squeeze risk jumps, and I'm already too deep in the red. In those cases I'm not interested in "hoping" — I'll cut the trade rather than sit through a huge move against me.

Bottom line: tight structure = tradable risk. Wide-open chart with big gaps between levels = cut faster or pass.

The "confidence stack" — what increases my size

- Clean, obvious resistance (200 MA / gap fill / prior support → resistance)
- High dilution / cash-need story (offering risk)
- Float in my sweet spot (not a grenade)
- Market cap and price in my comfort range
- Early pop in my favorite window (7:00–7:45)
- Clear invalidation level that's close enough to control risk



RISK & SIZING

Continued

What reduces my size (or makes me pass)

If I see “red flags,” I automatically scale down and tighten up:

- Nano float / very low float → unpredictable squeezes
- Strong, credible PR (Phase 3, FDA, major contract, hot theme) → can trend longer than expected
- China-based tickers → extra volatility / less reliable behavior
- AskEdgar looks “all green” (strong fundamentals / low dilution risk) → fewer reasons for the move to fail

The bigger the red flag, the smaller I start — and sometimes the best size is zero.

How I scale in (my typical approach)

- **Starter size:** small enough that being wrong doesn’t matter
- **Add only if:** price is at/through my level and I still have confidence, or it starts showing weakness (failed reclaim, lower high, breakdown)
- **Add more when:** the trade confirms (rejection holds and momentum shifts)
- **If invalidation hits:** I’m out. No negotiating.

The goal is to avoid going full size *before* the trade confirms. I’d rather be a little late with more confidence than early and stuck.

Risk always comes first

If I can’t clearly define (1) where I’m wrong, and (2) what the next level above me is — then I shouldn’t be in the trade, regardless of how good it looks.



NEXT STEPS

This playbook is just one of the tools in my toolbox. If you want to keep building your edge, the fastest path is reps + feedback in a focused environment. That's what TBOWS is — a community of short sellers working on execution, risk management, and consistency.

Join TBOWS

- Free Wednesday live stream on YouTube
- Daily & after-hours live sessions inside the community
- Playbooks, community chat, and deeper trade breakdowns
- Group & 1-on-1 mentorship with Justin and head trader Tom

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